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The Ranbaxy model and consolidation in pharma sector
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The incipient process of consolidation in pharma sector could lead to enhanced market power & reduced competition, which in turn would raise prices paid by consumers.

During the past several years, producers of generic pharmaceuticals based in India have emerged as role models for the developing countries.

Firms like Ranbaxy and Cipla, among others, have not only provided a basis for their home country to access pharmaceutical products at affordable prices, but they have also provided a fair degree of competition to the pharma majors in the latter's home countries.

Given this background, the decision of the promoters of the largest among the generic producers, Ranbaxy, to sell their stake to Daiichi Sankyo has especially generated considerable speculation about the future of the generic pharmaceutical industry in India.

In this context, concerns have especially been raised about the likely impact of the weakening of the generic drug producers in India on access to medicines at affordable prices.

Thus, while the partners to the deal may agree that they are in a win-win situation, the public at large may suffer the long term consequences of this potentially confidence-shattering deal for the generic drug producers in India.

Erstwhile promoters indicated that the sale of Ranbaxy Labs would help augment their real estate and hospitality business. From this point of view, therefore, the deal involved huge financial gains. In 2007, the earnings of promoters for their share was Rs 147 crore.

Fetching Rs 737 per share, which includes 40% premium over the market price of Rs 526 per share quoted before the deal, is definitely a winning deal.

Daiichi Sankyo, on the other hand, stands to benefit immensely in light of the fact that the government of Japan decided to take measures that would help increase the share of generic drugs from the present level of 17% to 30% by 2012.

The Council on Economic and Fiscal Policy, the consultative organ placed within the cabinet office under the leadership of the prime minister, has called for reduction in expenditure on pensions and medical care by ₹220 billion and the increased use of generic drugs is one of the major cost-saving measures proposed.

Daiichi Sankyo will have its nose in front in the expanding generic market because the company is getting Ranbaxy's cheap, high-quality manufacturing facilities.

What are the implications of this deal for the Indian pharma sector? The Ranbaxy model would encourage many more foreign firms to target gullible Indian generic majors for two reasons: First, they can get hold of the high quality and low-cost manufacturing of these firms and second, they can

eliminate potential competition.

The Daiichi-Ranbaxy deal in deed puts fear in generic companies supplying and competing with big innovator MNCs who can acquire them at any time, with their big money. When a generic major is taken over, not only the targeted firm but all its subsidiaries also go into foreign hands.

Major generic firms in India have been consolidating their position through mergers and acquisitions during the past one and a half decades. Ranbaxy alone has brought more than 12 generic companies under its control. The top 10 firms, including the Ranbaxy, have merged 35 firms and have taken over another 29 firms.

Foreign firms taking control of Indian generic majors could have serious implications for access to affordable medicines.

The potential competitors of foreign multinationals can also be targeted. Pfizer, which was reportedly making a move to take over Ranbaxy through a hostile bid, last week reached an out-of-the-court settlement over the world's largest selling drug, Lipitor (Atorvastatin).

Ranbaxy has been aggressively challenging Pfizer's patent on Lipitor, which, if successful, could have resulted Pfizer losing major attraction in its stock.

This cholesterol-lowering drug accounts for a quarter of its total sales. Similarly, Daiichi Sankyo is already having a conflict with the Matrix Laboratories of India, which is having a large API portfolio.

Early this month, Daiichi has filed a case in the district court of New Jersey against Matrix Laboratories for violating its US patent, covering olmesartan medoxomil, one of the active ingredients in Daiichi's antihypertensive drug, Azor.

Matrix had filed an Abbreviated New Drug Application with the United States FDA, seeking to market a generic version of Azor. One cannot rule out the possibility of Daiichi taking over Matrix Laboratories, which is a potential threat to the company.

This process of consolidation leads to enhanced market power and reduced competition, which in turn would enhance prices paid by the consumer. At the time of independence, Indian pharma sector had a monopolistic market structure dominated by foreign firms.

The United States' Senate Committee on Drug Prices, the 'Kefauver Committee,' reported in 1962 that 'in drugs, India ranks amongst the highest-priced nations of the world'.

It was the subsequent government policies Viz. the Patents Act, FERA and Industrial Licensing Policy that insulated Indian firms from foreign competition and created a conducive environment for their operations, resulting in the emergence of a vibrant generic pharma industry in India.

With the emergence of a strong generic industry, prices of medicines in India have become one of the lowest in the world.

Millions of poor patients, especially in developing countries depend on the supply of Indian firms to access good quality medicines at lower costs. These firms falling into the hands of foreign companies for big money raises legitimate concerns on the access to medicines not only in India but all across the world.

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